

Russia: Deficit target likely out of reach in 2027

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【メール原文】

Russia plans to narrow its fiscal deficit to 2% of GDP in 2027, but it will likely miss the target because its growth and inflation assumptions look t|||||||

Quick take

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Russia likely to overshoot 2027 deficit target despite new taxes

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Short-term trajectory:

Long-term trajectory:

What Happened

On 24 September, the Russian Finance Ministry presented its budget for 2027. The plan seeks to reduce the fiscal deficit caused by high military spending and weaker revenue by raising taxes on exporters, Western companies, and other sectors.

Our Take

Russia is unlikely to meet its 2027 deficit target. The plan to narrow Russia's budget deficit to 2% of GDP in 2027, down from the almost 3% expected in 2026, rests on growth and inflation assumptions that are likely too optimistic. The projections assume 1.4% GDP growth in 2027, above the central bank's 1.2% forecast and well above the OECD's 0.6%. The government also expects inflation to fall to 4% by the end of 2027, from an anticipated 6.8% in 2026. The budget presented by the Finance Ministry on 24 September also aims to rein in non-military and non-social spending, while raising taxes.

Yet Russia's fiscal math depends on a level of discipline the government has not demonstrated. Narrowing the deficit requires Moscow to contain military spending while cutting civilian outlays. It failed to do that in 2026. The budget will sharply slow growth in private real incomes and investment, widening the divide between Russia's military and civilian economies.

Moscow will continue to prioritize military spending over civilian needs. The Finance Ministry identified defense spending as a priority, though exact figures are not yet available. Planned outlays include arms purchases, upgrades to defense industry plants, military pay increases, and financial support for the families of service members. The prioritization of defense spending is in line with our basecase scenario of a further escalation of the war in Ukraine in the coming months.

As Eurasia Group predicted, the government is turning to tax hikes to finance spending. Western companies still operating in Russia will face a doubling of the dividend tax to 35%, and non-oil exporters will face a windfall tax that could weigh on future production. The government also plans to raise taxes on private passive income and some consumer imports. As war costs rise and Russia's fiscal position

weakens, the government may consider additional tax increases in the coming years, placing further strain on businesses.

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